

TechNova Solutions Ltd.

Annual Financial Report 2025

Fiscal Year: January 1, 2025 – December 31, 2025

Headquarters: Bengaluru, India

Industry: Artificial Intelligence & Cloud Software

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Executive Summary

TechNova Solutions Ltd. delivered strong financial performance during Fiscal Year 2025. Revenue increased due to higher enterprise software adoption and expansion into international markets.

The company focused on AI-powered analytics platforms and cloud infrastructure solutions. Customer retention remained above 95%, while subscription revenue continued to grow steadily.

Company Overview

Founded in 2016, TechNova Solutions Ltd. develops enterprise AI software for financial institutions, healthcare organizations, and manufacturing companies.

Products include:

- NovaAnalytics
- NovaVision AI
- NovaCloud
- FinSight

Employees: **2,850**

Countries Served: **22**

Enterprise Customers: **1,420**

Financial Highlights

Metric	FY2025	FY2024
Revenue	\$520 million	\$445 million
Gross Profit	\$315 million	\$264 million
Operating Income	\$110 million	\$88 million
Net Income	\$84 million	\$63 million
EBITDA	\$138 million	\$112 million
Total Assets	\$760 million	\$680 million
Total Liabilities	\$295 million	\$270 million
Shareholders' Equity	\$465 million	\$410 million

Management Discussion and Analysis

Revenue increased by approximately **16.9%** year-over-year.

Growth drivers included:

- Enterprise AI adoption
- Cloud subscription expansion
- Higher customer renewals
- New international contracts

Operating margins improved through infrastructure optimization and reduced cloud operating costs.

The company invested heavily in generative AI research, cybersecurity, and automation.

Capital expenditures increased due to expansion of data centers in Singapore and Germany.

Revenue Breakdown

Segment	Revenue
AI Software Platform	\$235 million
Cloud Services	\$170 million
Consulting	\$65 million
Technical Support	\$50 million

Geographic Revenue

Region	Revenue
North America	\$240 million
Europe	\$150 million
Asia-Pacific	\$100 million
Middle East & Africa	\$30 million

Operating Expenses

Category	Amount
Research & Development	\$78 million
Sales & Marketing	\$54 million

General & Administrative	\$46 million
Cloud Infrastructure	\$31 million
Depreciation	\$18 million

Total Operating Expenses:

\$227 million

Balance Sheet

Assets

Asset	Amount
Cash & Cash Equivalents	\$142 million
Accounts Receivable	\$88 million
Inventory	\$26 million
Property & Equipment	\$310 million
Intangible Assets	\$194 million

Total Assets:

\$760 million

Liabilities

Liability	Amount
Accounts Payable	\$54 million
Short-Term Debt	\$42 million
Long-Term Debt	\$128 million
Deferred Revenue	\$71 million

Total Liabilities:

\$295 million

Cash Flow Statement

Operating Activities

Net Cash from Operating Activities:

\$128 million

Investing Activities

Capital Expenditure:

-\$74 million

Financing Activities

Debt Repayment:

-\$21 million

Dividend Paid:

-\$16 million

Net Increase in Cash:

\$17 million

Ending Cash Balance:

\$142 million

Financial Ratios

Ratio	Value
Gross Margin	60.6%
Operating Margin	21.2%

Net Profit Margin	16.2%
Current Ratio	2.4
Debt-to-Equity Ratio	0.63
Return on Equity	18.1%
Return on Assets	11.0%

Risk Factors

The company faces several business risks:

1. Increasing competition from global AI vendors.
 2. Rising cloud infrastructure costs.
 3. Cybersecurity threats.
 4. Dependence on enterprise subscription renewals.
 5. Foreign exchange fluctuations.
 6. Regulatory compliance requirements for AI systems.
 7. Talent acquisition and retention challenges.
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Future Outlook

Management expects FY2026 revenue growth between **14% and 18%**.

Strategic priorities include:

- Expansion into Southeast Asia.
- Investment in Generative AI.
- Increased R&D spending.
- Launch of autonomous financial analytics products.
- Growth in subscription-based revenue.
- Continued focus on profitability.